PennSEM Business Case Competition



Burberry Case Study

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Team Members:

Raunak Agarwal
Kota Furusho
Philip Leitner
Euan Wang

Question 1: Is Burberry the only luxury fashion house suffering from stagnant revenue growth across the past 10 years? If yes, what are some reasons contributing to it's underperformance? If no, what are some reasons contributing to sectoral underperformance?

The luxury fashion industry has experienced rapid growth over the past decade, but that momentum has recently diminished. Burberry has recorded the weakest revenue growth among luxury houses during this period, and the company's outlook for the current year appears bleak, with expectations of declining sales.

We will delve deeper into this over the next few slides.

Luxury Trends : Volatility along with Weakening Trends

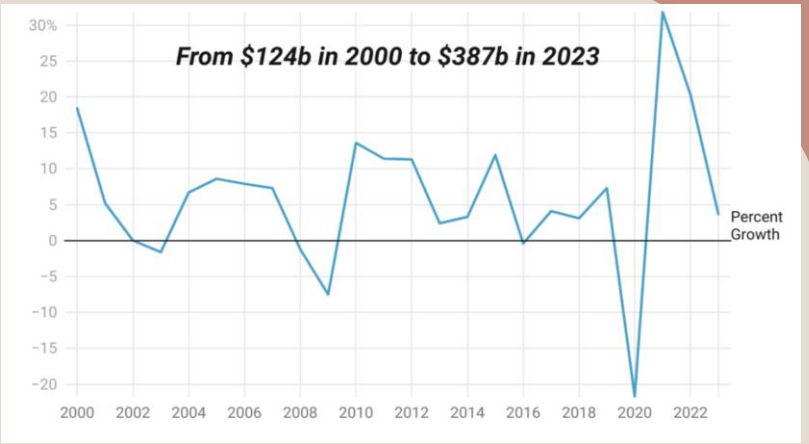
Luxury spending has historically been marked by significant volatility, influenced by economic conditions and consumer sentiment.

1. Historical Volatility in Luxury Spending : The personal luxury market has experienced fluctuations, with five years of double-digit growth, three years of decline, and two flat years before the COVID-19 pandemic. Following a nearly 20% drop in 2020 due to the pandemic, the market rebounded impressively in 2021 and 2022, achieving growth rates of approximately 20% and 30%. However, growth slowed to just 4% in 2023, indicating emerging challenges ahead. Having said that, the sector has shown decent growth over the last decade.

2. Recent Trends Indicate Caution : Post-pandemic, a surge in spending—driven by 'revenge spending'—spiked over 400%, but this trend was short-lived. The luxury market is now facing cautious consumer behavior, particularly in key markets like China and the U.S., as savings dwindle and macroeconomic concerns rise. In 2023, luxury spending declined significantly, with a 29% drop in Spring and a further 20% decrease during the December holiday season.

3. Economic Influences and Consumer Behavior : The luxury sector is currently facing a tough environment characterized by global economic uncertainties, inflation and declining consumer confidence. Additionally, consumers are becoming more selective, prioritizing value and quality over quantity, which is reshaping spending patterns across luxury categories.

Personal Luxury Market YoY Growth 2000-2023



Source : Forbes

Total Captured Spending Select Luxury Brands (YoY Growth)

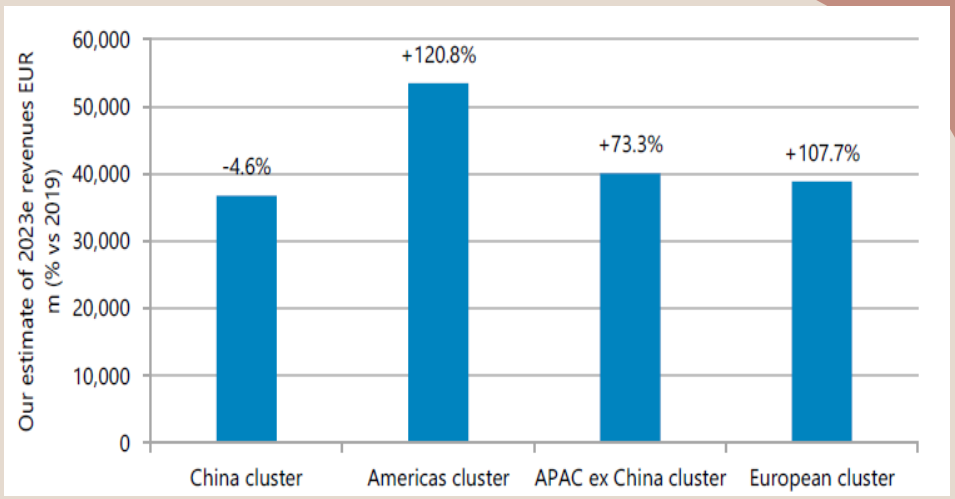


Source : Envestment Yodlee

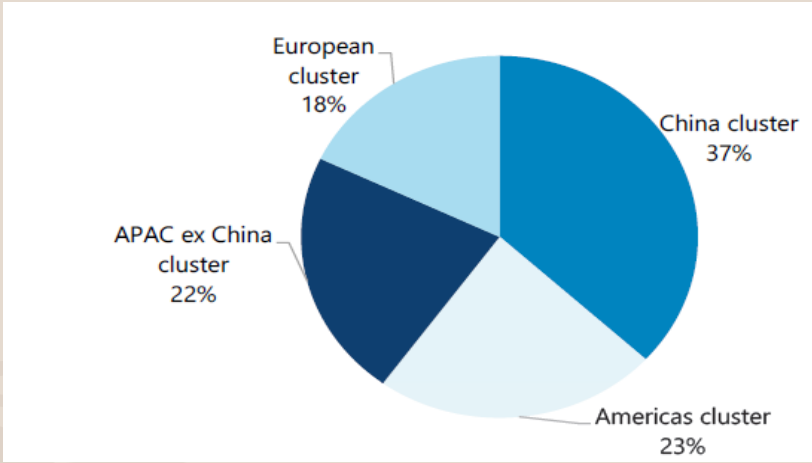
Luxury Trends : China Conundrum

- China has been a big driver of increased luxury spend. Over the span of five years, from 2017 to 2021, China's luxury market tripled in size.
- However, the boom came to an end in 2022 due to the impact of Covid-19, resulting in a double-digit decline in annual growth rate.
- The lifting of Covid restrictions in December 2022 paved the way for the recovery but the momentum didn't last long given the slowing economy and dampened consumer sentiment.
- According to Jefferies, China's contribution to global luxury spending decreased from 37% in 2019 to 22% in 2023.

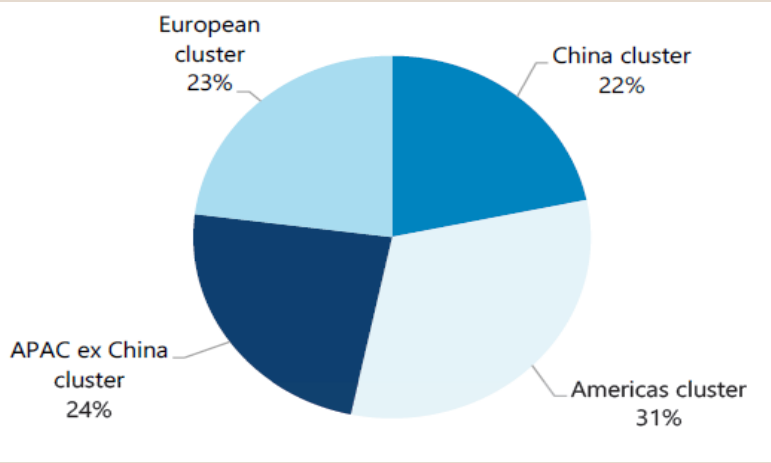
China Cluster Remains Weak When looking at Growth vs 2019



China Cluster Was 37% of Global Lux Spend in 2019



China Cluster Was 22% of Global Lux Spend in 2023

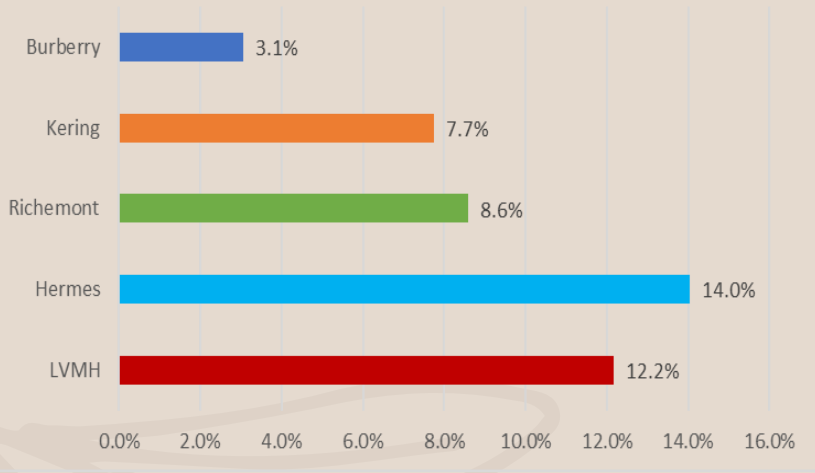


Source : Jeffries, Company Data

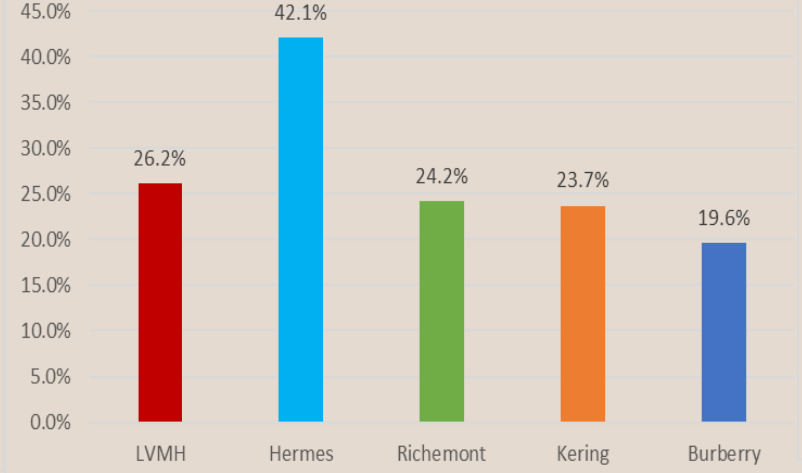
Burberry vs Peers : Diverging Performance

1. Although, the luxury segment has experienced significant volatility over the last decade with double digit growth before the pandemic to weakening trends lately post the 'revenge spending' spike.
2. However, the performance has been quite divergent with Hermes and LVMH exhibiting strong revenue growth and net profit growth driven by high margins.
3. Richemont and Kering have also shown decent growth with decent margins, however their growth has been sluggish lately.
4. However, it's quite evident from the charts below that Burberry has been the biggest laggard with the slowest revenue growth amongst peers (3.1% CAGR over the last 10 years) and the slowest net profit growth at 4.4% over the last decade. 2023 margins were also the lowest amongst its peer group.

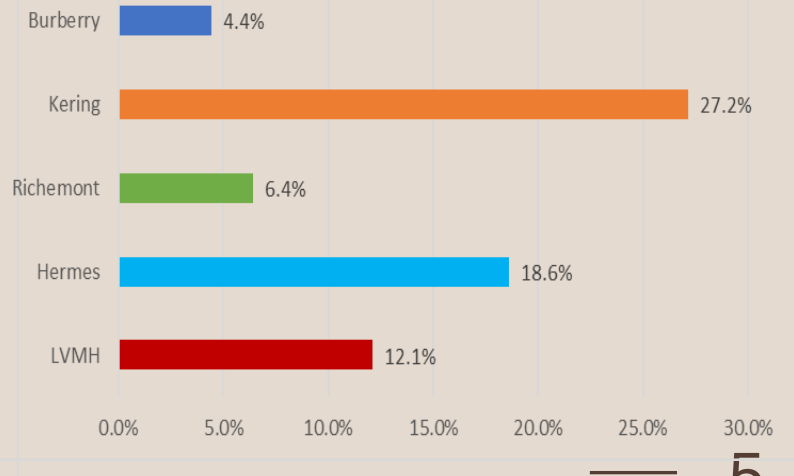
Revenue Growth (%) 2014-2023



2023 EBIT Margin (%)



Net Profit Growth (%) 2014-2023

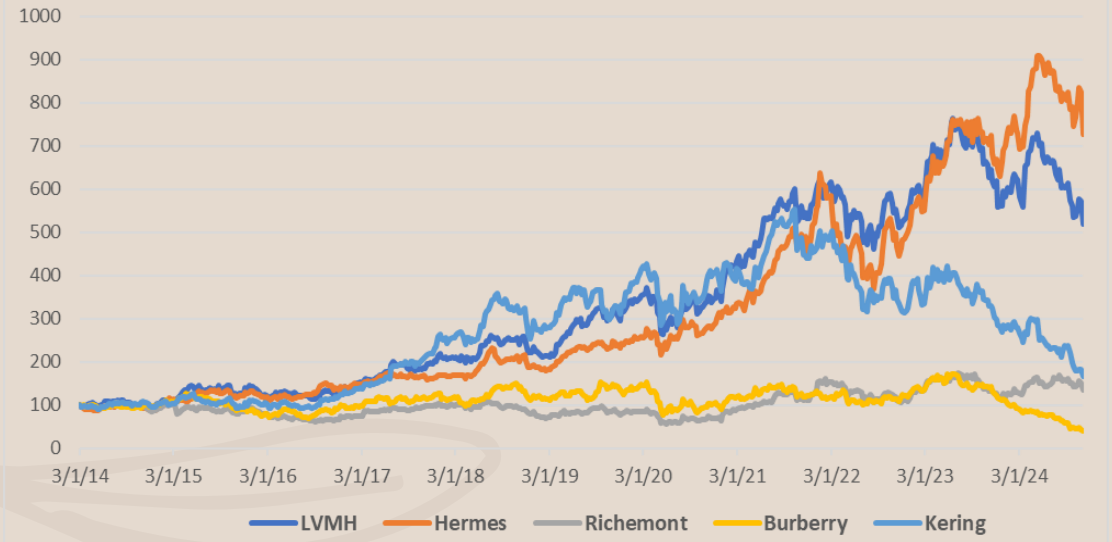


Source : Bloomberg

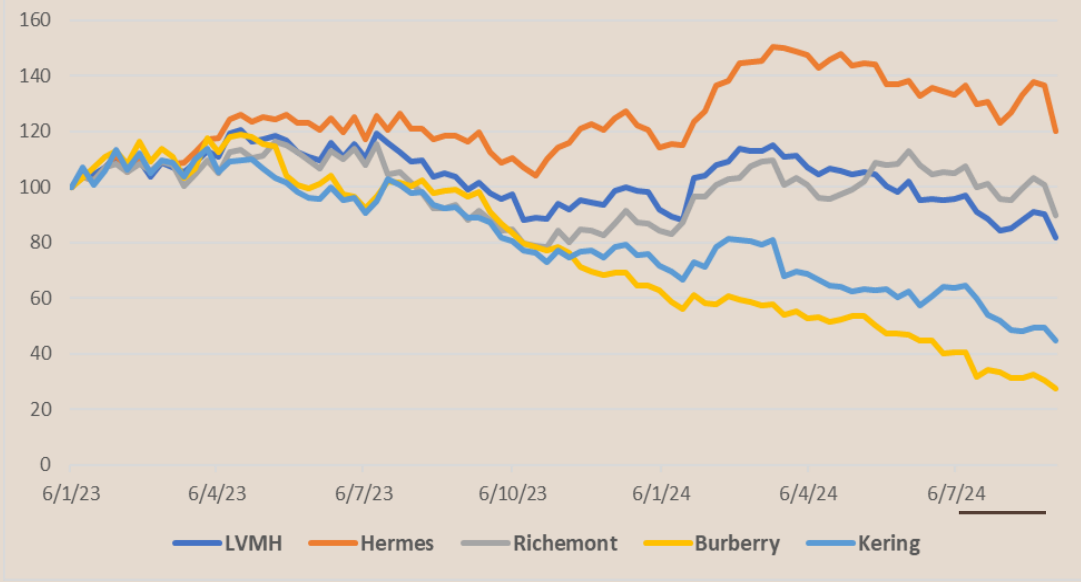
Burberry vs Peers : Share Price Performance

- Burberry's share price has plummeted approximately 60% over the past decade, making it the worst-performing stock in its peer group. This decline reflects growing investor concerns and a failure to maintain brand momentum.
- The weakened momentum has continued in the short term with Burberry declining more than 70% since Jan 1, 2023.
- Below charts clearly indicate that **Burberry has been the worst performing luxury stock both in the short-term and the long-term.** This share price slump led to Burberry being booted off FTSE 100 after almost 15 years.
- **Lets try and understand the company better in the next 2 slides.**

Luxury Peers Share Price Performance (%)
Jan 1, 2014 – Sep 6, 2024



Luxury Peers Share Price Performance (%)
Jan 1, 2023 – Sep 6, 2024



Source : Bloomberg

Question 2 : What are some reasons contributing to Burberry’s decrease in net profit?

Before we explore the factors contributing to Burberry's decline in profitability, let's provide an overview of the brand, highlighting its key revenue segments, regional revenue distribution, and important financial metrics.

Following this snapshot, we will analyze the missteps that have led to a decrease in Burberry's net profit.

Burberry Snapshot

Burberry's product line is one that is fairly diverse consisting of mainly accessories, womenswear and menswear.

Accessories

Accessories the top performing category, accounting for 24% of Burberry's total revenue in FY24. This category includes products such as handbags, scarves and shoes. Notably, Burberry's Knight and Rocking Horse handbag collections have been contributing to a lot of the growth within this segment.



Burberry's Knight (left) & Rocking Horse (right)

Womenswear

Womenswear generated 30% of FY24 revenue and is a key part to the Burberry's offerings. Historically, the iconic trench coats have been quite strong in this category. However, Burberry is actively looking to modernise this sector to keep up with new trends



Burberry Female Trench Coats

Menswear

Menswear is another key segment which generated 29% of FY24 Revenue. This category includes shirts, formal wear, trench coats etc. Unfortunately, despite its big contribution, menswear faced challenges in FY24, with a slight decline in growth.



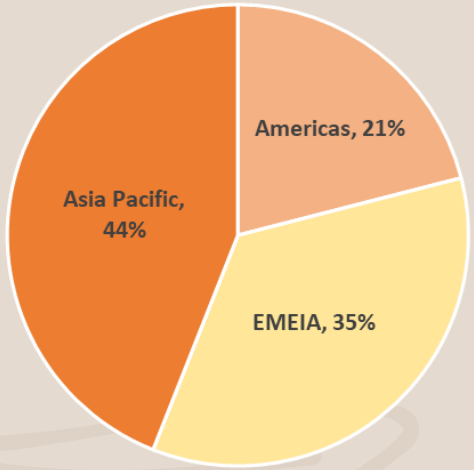
Burberry Men Formal Shirts

Source : Company Reports

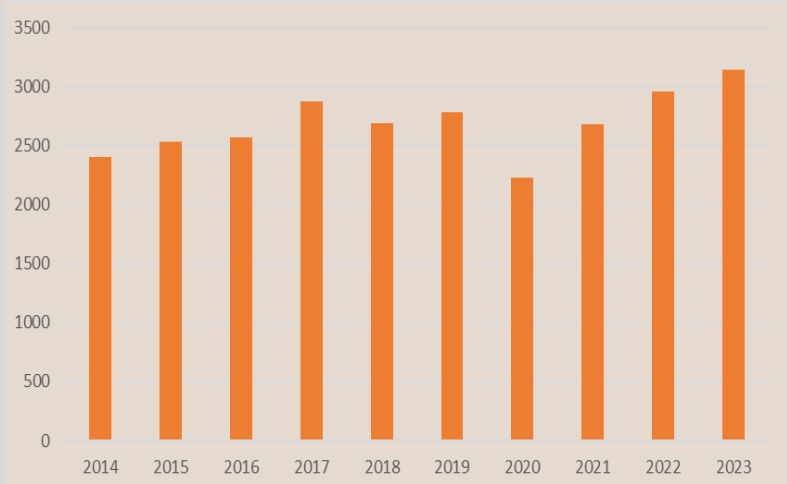
Burberry Snapshot Contd..

- Burberry's generated a revenue of ~GBP 3.0 bn in FY24, with a heavy reliance on retail (81%). Approx. 40% of the retail revenue is from outlet stores, a substantial jump from just 25% in FY15, reflecting the companies conscious transition to drive up sales volume.
- Asia Pacific contributed to ~44% of FY24 revenues with China contributing to 30% of its revenues.
- Revenue growth over the last decade has been tepid at ~3.1% and Burberry also lags behind its peers in term of profitability given weaker margin profile vs peers.
- The above has led to its market capitalization declining from ~GBP 6.6 bn on Jan 1, 2014 to ~GBP 2.0 mn currently.
- **Subsequently, we will examine the reasons behind Burberry's lagging profitability compared to its peers.**

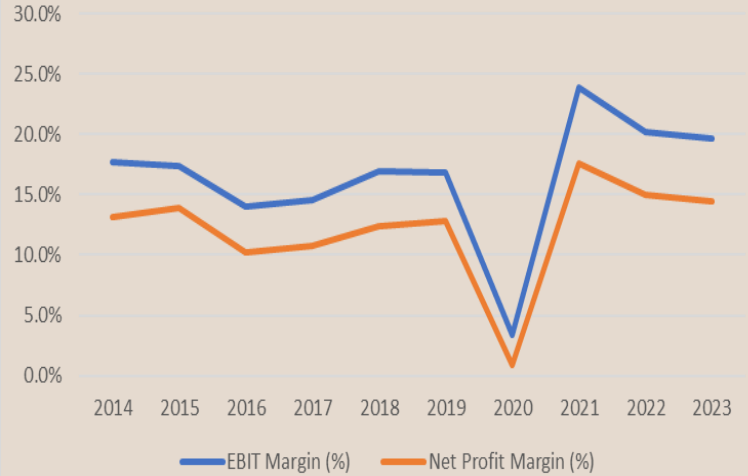
Regional Revenue Split (%)



Revenue (GBP mn)



Margin (%)



Source : Company Reports, Bloomberg

Burberry : What went wrong?

- **Strategic Missteps :** Although Jonathan Akeroyd, Burberry's former CEO, aimed to elevate the brand by embracing its 'Britishness' and moving it further upscale, his tenure saw a departure from these foundational elements. Under Akeroyd and chief designer Daniel Lee, Burberry appeared to stray from its traditional roots. The reception to Lee's designs was mixed, particularly due to the shift away from Burberry's classic camel, red, and check patterns towards bolder colors like vibrant blues, which did not resonate well with customers.

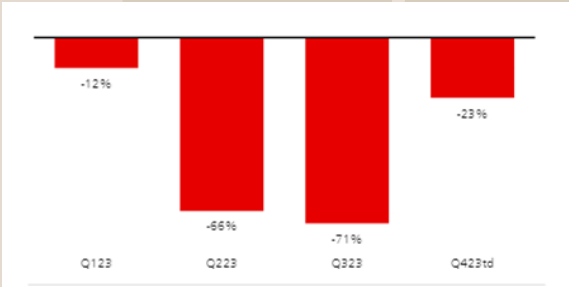
- **Loss of Brand Identity :** The appointment of three new CEOs in the past seven years, along with a series of creative directors, each offering their own interpretation of the brand, has led to confusion among Burberry's core customers. This revolving door of leadership has contributed to a lack of cohesive identity, with each new creative director further complicating the brand's image. This ongoing mismanagement has not only weakened Burberry's brand equity but has also fostered distrust among consumers and investors.

- **Premiumization without Brand Elevation :** Over the years, Burberrys strategy has been rooted in an easy-to-digest interpretation of its British identity and a price positioning that straddled the line between top luxury houses and premium labels like Polo Ralph Lauren etc. However, under the new designer Burberry raised prices aggressively. For eg. Burberry had traditionally charged an average £990 for its handbags but the so-called 'Knight Bag', Mr Lee's first for Burberry, was priced at £2,490. Consumers have found Burberry's latest collections too expensive relative to its perceived value. The fact that sales from outlets account for more than 1/3rd of sales makes this upmarket strategy even more questionable.

Daniel Lee's first collection which was panned by critics



Burberry Instagram likes per post vs 2019



Knight Bag

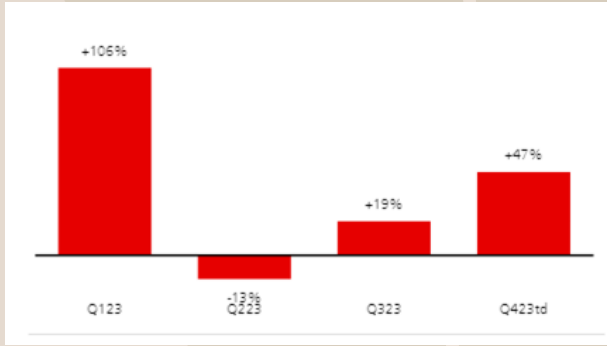


Source : Burberry website, UBS Evidence Lab

Burberry : What went wrong?

- **Over dependence on China:** China accounts for more than a quarter of Burberry's sales. This over reliance on China vs peers has been a point vulnerability for Burberry at a time when Chinese consumer is cutting back on spending driven low consumer sentiment in the midst of a slowing economy. Additionally, Burberry seems disconnected from the expectations of Chinese clients, which is clearly visible from lack of momentum on searches on various online platforms like WeChat.

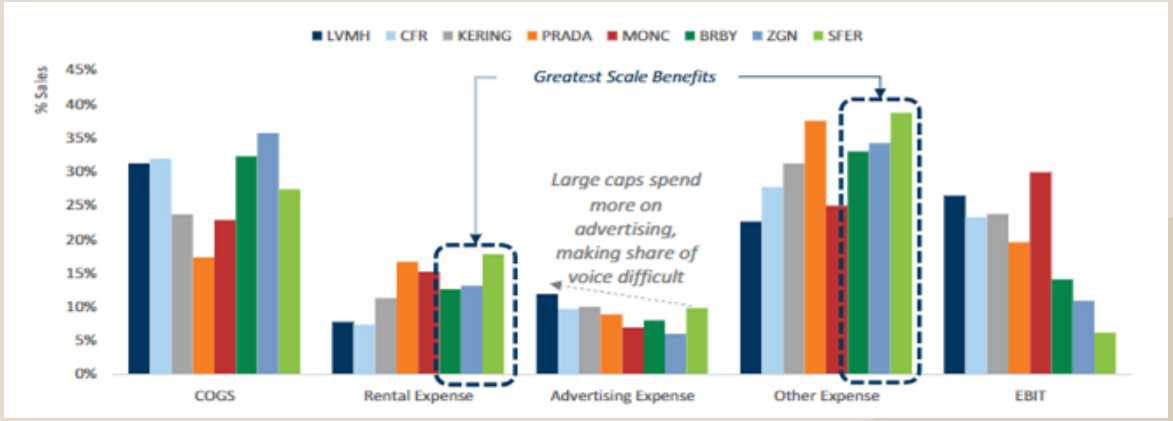
Burberry WeChat reads per post vs 2019



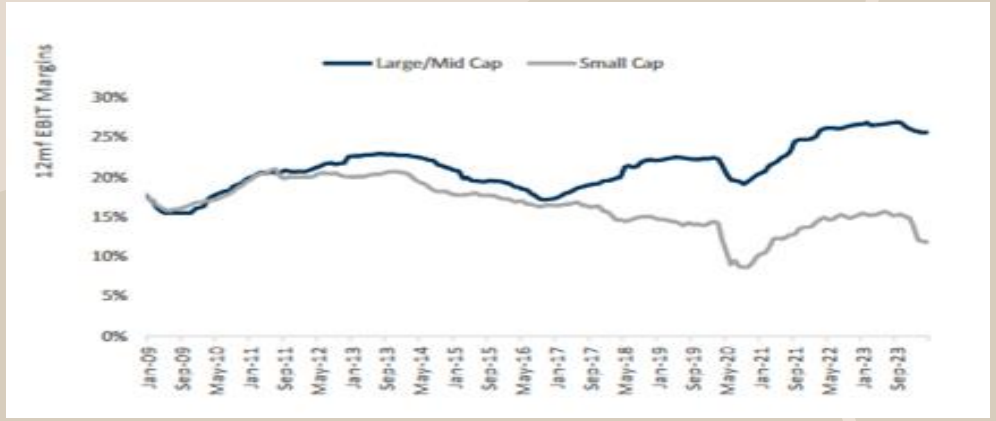
Source : UBS Evidence Lab

- **Lack of Scale has increasingly become more disadvantageous :** Declining profitability and market cap has made it further difficult for Burberry to compete with larger players like LVMH, Richemont etc. Scale helps margins by not only reducing costs (stronger real estate bargaining power, reduced opex etc) but also providing more avenues for growth (higher advertising spend, increased online spend etc)

The greatest scale benefit can be seen in rental/other opex
%FY23 Revenues (FY24 for May y/e) – sorted from highest/lowest revenue



…….evident in divergent margin forecasts…
12mf EBIT Margins



Source : Company Data, Goldman Sachs, Thomson Reuters Eikon

Question 3 : What are some short-term and long-term strategies to help Burberry execute a turnaround? i.e. Increasing sales and profit.

In the short-term, Burberry should focus on reducing costs, strengthening its balance sheet, and managing inventory levels, while introducing more accessible price points and appointing a new designer.

However, in the long-term, the focus should be on developing a compelling and authentic brand story that can rekindle the emotional connection with its audience. Additionally, it needs to diversify its presence in emerging markets like India and the Middle East, and adopt augmented reality (AR) to enhance customer engagement and experience.

More Details on the above in the next few slides.

Burberry : Short-term Strategies

- **Focus on Improving Balance Sheet :** Burberry focus on near term should be on reducing costs strengthening its balance sheet strength. Suspension of 2025 dividend was a good first step, but it needs to do more as cash flows have declined recently. Burberry had a very low Free cash flow of GBP 63 mn in FY24 and net debt/adjusted EBITDA reached 1.4x, above its target 0.5-1.0x.

- **Reduce Inventories :** Working capital was a big drag in FY24 with inventories +13% yoy in FY24 while like-for-like sales were down in FY24. The expectation of further declining sales this year is likely to push inventories even higher. Burberry must find a delicate balance between managing excess stock and preserving its premium brand image.

- **Introducing more accessible price points :** It needs to give up on its premiumization strategy till it can increase its brand relevance to its core customer. Average price gap of a Burberry handbag vs competitors such as LVMH narrowed from 200% in 2022 to 75% in 2024, further highlighting the need to reduce prices.

- **Fire Daniel Lee and get a new designer :** Daniel's interpretation of the brand hasn't resonated with the existing clientele. New CEO needs to get a new designer whose strategy is fully aligned and is in line with the evolving customer which craves innovation, cultural capital and compelling brand-specific storytelling.

Burberry : Long-term Strategies

- **Go back to the roots :** The brand needs a coherent strategy that goes beyond superficial changes. This involves developing a compelling and authentic brand story that intertwines its rich history with modern values such as inclusivity, sustainability, and innovation. This will help Burberry forge deeper emotional connections with existing and new consumers.

- **Resonate with contemporary themes:** Move beyond the narrow and dated confines of upper class Britishness and celebrate the multicultural tapestry of modern Britan not only in its social media campaigns but also in its designs. By celebrating diversity and inclusivity, the brand can appeal to a wider audience and position itself as a champion of contemporary values.

- **Diversify Emerging markets presence beyond China :** Burberry needs to increase its presence in other growing economies like India and the Middle East. India's luxury market is predicted to more than triple by 2030, reaching a tremendous market value of $200B driven by India's growing middle class. The Middle East luxury market is similarly poised for a remarkable expansion, with its current value of about $15.85 billion expected to double by the year 2030.

- **Be at the forefront of Innovation by adopting AR :** At a time when innovation is key to attracting and retaining customers, adopting augmented reality (AR) in the fashion industry can be a game-changing strategy. By integrating AR, Burberry can offer customers virtual try-ons, immersive showcases of its collections, interactive marketing campaigns, and much more.

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